

Business Responsibility Report

Pursuant to the regulation 34 (2) (f) of the SEBI (Listing Obligation and Disclosure Requirement) Regulations, 2015 which has mandated the inclusion of a Business Responsibility Report (BRR) as part of the Company's Annual Report for the top 1000 listed entities based on market capitalisation at the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE), following is the Business Responsibility Report of the Company for the Financial Year ended March, 31, 2022.

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

1	Corporate Identity Number (CIN) of the Company	L26941UP1983PLC027278
2	Name of the Company	Radico Khaitan Limited
3	Registered Address	Rampur Distillery, Bareilly Road, Rampur, Uttar Pradesh - 244901
4	Website	www.radicokhaitan.com
5	Email ID	info@radico.co.in
6	Financial Year Reported	April 01, 2021 to March 31, 2022
7	Sector(s) that the Company is engaged in (industrial activity code-wise) - Name and description of main products	Manufacturing of Alcohol and Alcoholic Products NIC Code of the product: 1101
8	List three key products/services that the Company manufactures/provides (as in balance sheet)	Manufacturing of Alcohol and Alcoholic Products
9	Total number of locations where business activity is undertaken by the Company	43
	a. Number of International Locations (Provide details of major 5)	Nil
	b. Number of National Locations	43
10	Markets served by the Company -Local/State/ National/International	Apart from serving entire country, company exports to more than 50 countries.

SECTION B: FINANCIAL DETAILS OF THE COMPANY

1	Paid up Capital (INR)	₹ 26.73 Crore
2	Total Turnover (INR)	₹ 12,470.5 Crore (Gross) ₹ 2,868 Crore (Net of Excise Duty)
3	Total profit after taxes (INR)	₹ 252.2 Crore
4	Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	Radico has spent an amount of ₹ 536.5 lakhs on its CSR activities. Please refer to the Annexure E to the Director's Report forming part of this Annual Report.
5	List of activities in which expenditure in 4 above has been incurred	Refer to the Annexure E to the Director's Report.

SECTION C: OTHER DETAILS

1	Does the Company have any Subsidiary Company/ Companies?	Yes
2	Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)	NA
3	Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]	NA

SECTION D: GENERAL INFORMATION ABOUT THE COMPANY**1. Details of Director/ Directors responsible for BR****(a) Details of the Director/Director responsible for implementation of the BR policy/policies**

No.	Particulars	Details
1	DIN Number (if applicable)	00772865
2	Name	Mr. Abhishek Khaitan
3	Designation	Managing Director

(b) Details of the BR head

No.	Particulars	Details
1	DIN Number (if applicable)	00772865
2	Name	Mr. Abhishek Khaitan
3	Designation	Managing Director
4	Telephone number	+91 11 4097 5500
5	e-mail id	investor@radico.co.in

2. Principle wise (as per NVGs) BR Policy / Policies:

The nine principles are as under:

1. Principle

Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.

2. Principle

Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.

3. Principle

Businesses should promote the well-being of all employees.

4. Principle

Businesses should respect the interests of and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.

5. Principle

Businesses should respect and promote human rights.

6. Principle

Businesses should respect, protect and make efforts to restore the environment.

7. Principle

Businesses when engaged in influencing public and regulatory policy, should do so in a responsible manner.

8. Principle

Businesses should support inclusive growth and equitable development.

9. Principle

Businesses should engage with and provide value to their customers and consumers in a responsible manner.

(a) Details of compliance (Reply in Y / N)

No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have a policy / policies for?	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy being formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy conform to any national / international standards? If yes, specify? (50 words)	All the policies have been developed considering relevant national & International standards.								
4	Has the policy being approved by the Board? If yes, has it been signed by MD / owner / CEO / appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
5	Does the Company have a specified committee of the Board / Director / Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6	Indicate the link for the policy to be viewed online?	https://www.radicokhaitan.com/investor-relations/ .								
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	The policy has been posted on the Company's website for information of all the internal and external stakeholders of the Company.								
8	Does the Company have in-house structure to implement the policy / policies?	Yes, the Company have necessary structure in place to implement the policy.								
9	Does the Company have a grievance redressal mechanism related to the policy / policies to address stakeholders' grievances related to the policy / policies?	Yes, the Company have necessary grievance redressal to address stakeholders grievances related to the policy. The CSR committee of the Board of Directors is responsible for addressing stakeholders concerns related to BR policy.								
10	Has the Company carried out independent audit / evaluation of the working of this policy by an internal or external agency?	The BR policy is evaluated internally. Time to time evaluation of its working is done by an internal or external agency.								

(b) Details of compliance (Reply in Y / N)

No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	The Company has not understood the Principles	NA	NA	NA	NA	NA	NA	NA	NA	NA
2	The Company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles	NA	NA	NA	NA	NA	NA	NA	NA	NA
3	The Company does not have financial or manpower resources available for the task	NA	NA	NA	NA	NA	NA	NA	NA	NA
4	It is planned to be done within next 6 months.	NA	NA	NA	NA	NA	NA	NA	NA	NA
5	It is planned to be done within the next 1 year	NA	NA	NA	NA	NA	NA	NA	NA	NA
6.	Any other reason (please specify)	NA	NA	NA	NA	NA	NA	NA	NA	NA

3. Governance related to BR:

A	Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year	Annually
B	Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is Published?	Published Annually

Yes, the BR Report is published on annual basis. The report for the financial year 2021-2022 can be assessed through the link: <http://www.radicokhaitan.com/investor-relations>.

SECTION E: GENERAL INFORMATION ABOUT THE COMPANY

Principle 1: Businesses should conduct and govern themselves with Ethics, Transparency and Accountability

Description	Response
Does the policy relating to ethics, bribery and corruption cover only the Company? Yes / No. Does it extend to the Group / Joint Ventures / Suppliers / Contractors / NGOs / Others?	Radico Khaitan have strong and rich foundation of ethics and responsibility which is absolutely necessary to sustainable economic value. With its legacy of fair, transparent and ethical Radico governance, Radico Khaitan has adopted an Anti-Bribery policy under which strict action is envisaged against employees if found indulged into the practice of giving undue favours to government servants or any other stakeholders like vendors, bankers, etc. Radico Khaitan Limited also has its own self explanatory code of conduct which defines the importance & commitment on ethics, bribery and any other kind of behaviour which are not acceptable by the company and all employees sign that code with full commitment. The Company encourages and expects the parties associated with its value chain partners like dealers, vendors, supplier, contractors, employees etc. to follow the Code of Business Conduct and principles envisaged in the policy while their interactions with Radico Khaitan. From time to time, drives are initiated for responsible drinking, don't drink and driving, etc. The Company promotes the policy of responsible drinking amongst its consumers. Employees are involved in decision making through making of committees where they have say to express their concerns.
How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.	For query/ compliant please refer to Corporate Governance Report under the head of Stakeholder's Relationship Committee. The Company did not have any significant external stakeholder compliant in the reporting financial year.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

Description	Response
List upto 3 of your products or services whose design has incorporated social or environmental concerns, risks and / or opportunities.	- The effluent treatment facility in Rampur and other plants complies with Zero liquid Discharge concept as set up by CPCB/ State pollution Board. The treatment has varied by products, which not only improves operational stability of the plants but also adds on to company's profitability. Primary treatment of the effluent yields bio gas, which is used as fuel in cogen boiler to generate steam and then power through a backpressure turbine. The backpressure steam is used again in the distillation plant to produce extra neutral alcohol and rectified spirit. - Radico generates over 70% of its power requirement through its own turbines and Bio-gas based generators. There are two steam turbines that are attached to the boilers. The cogeneration plant of Radico Rampur Distillery consists of 26 MT capacity India's first standalone biogas-fired steam boiler and 2 MW turbine generator and 30 MT capacity biogas and rice husk based boiler and 2.5 MW in tandem to make Radico Khaitan self-reliant on its requirement for power for its normal operation. In addition, there are two Biogas-based generators of 1200 KWH (1.2 MW) each for power generation from biogas. - Meeting out 100% pollution control norms, the treated effluent is not discharged outside and in turn is mixed and cured with organic mass like press mud of sugar mills and suitable organic manures to manufacture bio manure or bio compost, a bio fertiliser used successfully in growing the crop of sugar canes, etc.

Description	Response
For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional)	The Company has been continuously striving hard to reduce the power and fuel consumption thereby contributing for the improvement of environment. Radico Khaitan has been focusing on tree plantation nearby its manufacturing plants. It has planted large number of trees and plans to add huge numbers soon in various other locations. Further, the Company has also contributed a lot to its nearby areas through CSR activities.
1. Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.	The resources involved in the manufacturing processes are efficient and sustainable and 100% of the inputs are sustainably sourced by the Company. The Company has very first backward integration project that has come in the form of setting up a fully automatic 750 ml kidney shape PET bottle manufacturing plant in low cost and tax benefited area like Uttaranchal. The unit started with production rate of 0.85 crore bottles per year in October 2004 and is now geared up to produce 60 crore PET bottles to cater Radico Khaitan's own captive consumption of approx. 30 crore bottles per year and rest is being sold to outside clients in liquor, pharmaceutical and FMCG. This project has also given employment to workers and helped them in living better life. Further, the Company gives preference in selection of vendors for procurement of raw material, who comply with the various principles of sustainability. Majority of suppliers of raw material are located within a radius of 200 Kilometers of the manufacturing units of the Company which helps to minimise transportation. Radico have also focused on sourcing from domestic suppliers and develop a more robust local supplier base.
2. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?	The Company has always given the preference to local vendors for supply of stores, spares and repair works. Our contractors who are engaged in the repairs and maintenance of plants are employing workmen from the nearby villages by providing opportunities to them to earn livelihood. The local labours are provided with safety equipment and apparatus and are expected to adhere to the safety procedures of the Company.
3. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.	The production process of the Company is based on principles of optimising the material and energy resources. Therefore, the Company lays high degree of stress to reduce waste associated with its products. In the said direction, it has installed Effluent Treatment Plant ("ETP") and filter processes at all of its plants and whatever, liquid and solid waste is generated, the same is being recycled and reused in the process. The current waste generation is less than 1% of the total production, majority of which is recycled.

Principle 3: Businesses should promote the well-being of all employees

Description	Response (as on March 31, 2022)
1. Please indicate the Total number of employees.	1196
2. Please indicate the Total number of employees hired on temporary/ contractual / casual basis.	1687
3. Please indicate the Number of permanent women employees.	21
4. Please indicate the Number of permanent employees with disabilities	03
5. Do you have an employee association that is recognized by Management?	Yes. There are recognized trade unions constituted as per the terms of the Trade Unions Act at the Company's manufacturing units.
6. What percentage of your permanent employees is members of this recognized employee association?	13%
7. Please indicate the Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.	Nil

# Category	No. of complaints filed during the financial year	No. of complaints pending as on end of the financial year
1. Child labour / forced labour / involuntary labour	Nil	Nil
2. Sexual Harassment	Nil	Nil
3. Discriminatory employment	Nil	Nil

The Company is fully compliant with the prevailing laws on the prevention of sexual harassment of women at workplace. The policy for the prevention of sexual harassment of women at workplace is available on the website of the Company at <http://www.radicokhaitan.com/investor-relations/>.

No complaint received during the year regarding sexual harassment of women at workplace.

Radico Khaitan has in place a robust vigil mechanism and has adopted a whistle blower policy which allows employees of the Company to raise their concerns relating to fraud, malpractice or any other activity or event which is against the interest of the Company or society as a whole.

4. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?		
A.	Permanent Employees	8 hours of training per employee
B.	Permanent Women Employees	8 hours of training per employee
C.	Casual / Temporary / Contractual Employees:	Safety and work instructions are given before they start working.
D.	Employees with Disabilities	NIL

Principle 4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized

Description	Response
1. Has the Company mapped its internal and external stakeholders? Yes/No	Yes. The Company has mapped its internal stakeholders as well as external stakeholders. The Company believes that an effective stakeholder engagement process is necessary for achieving its sustainability and growth.
2. Out of the above, has the company identified the disadvantaged, vulnerable & marginalized stakeholders.	The Company had appointed a consultant to identify its marginalised stakeholders by way of vendors, stockists, contract workers who are situated in and around its factory locations which are essentially under-developed locations requiring attention. The Company has put in place systems and procedures to identify, prioritise and address the needs and concerns of its stakeholders across businesses and units in a continuous, consistent and systematic manner. It has implemented mechanisms to facilitate effective dialogues with all stakeholders across businesses, identify material concerns and their resolution in an equitable and transparent manner. These measures have helped the Company develop strong relationships, which have withstood the test of time.
3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.	The Company's collaborative stakeholders are manifest in its programmes which company has done under CSR which are mostly are towards the welfare of the people and stakeholders in and around our factory locations by providing health and sanitary care, educational facilities and vocational training, infrastructural facilities like road, water, etc. Most of the welfare schemes undertaken by the Company are targeted towards upliftment of the poor and down-trodden and marginalised stakeholders located in and around our factories. These initiatives augment the natural resource base of the nation and create sustainable rural livelihoods.

Principle 5: Businesses should respect and promote human rights

Description	Response
1. Does the policy of the Company on human rights cover only the Company or extend to the Group / Joint Ventures / Suppliers / Contractors / NGOs / Others?	The Company has a Code of Conduct for Directors and Senior Management of the Company. The Company complies with the National and Local Laws as far as the individual rights are concerned. However, there is no specific human rights policy for the time being, which is being formulated for the approval of the Board.
2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?	No complaints for violation of human rights were received by the Company during the financial year.

Principle 6: Business should respect, protect and make efforts to restore the environment

Description	Response
1. Does the policy related to Principle 6 cover only the Company or extends to the Group / Joint Ventures / Suppliers / Contractors / NGOs / others.	The Company has a Policy on Safety Health and Environment (SHE), which covers all the operations of the Company. The Policy includes implementation of a low carbon growth strategy across its businesses, integrated soil and water conservation programmes and the creation of large-scale sustainable livelihoods amongst the marginalised sections of society. The policy is applicable to the Company's all the locations. The Company has done tie up with various organisation for recycling of pet bottles, collection of glass bottles and management of e-waste.
2. Does the Company have strategies / initiatives to address global environmental issues such as climate change, global warming, etc? Y / N. If yes, please give hyperlink for webpage etc.	Yes. The Company is committed to reduce Greenhouse Gas (GHG) emissions and have got short-term and long-term targets in this regard. All these targets are aimed are: • Reduction in water use through improvement in water use efficiency. • Continuous focus on reduction of thermal and electrical energy consumption. • Installation of Waste Recovery System. • Utilization of waste products from its thermal power plants like fly ash to improve the environment. • Development of ponds and afforestation of the mined area to ensure greener environment. • Installation of high efficiency bag filters in place of ESPs to ensure emissions are well within the permissible limits.
3. Does the Company identify and assess potential environmental risks? Y / N	Yes
4. Does the Company have any project related to Clean Development Mechanism ? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed ?	No
5. Has the Company undertaken any other initiatives on-clean technology, energy efficiency, renewable energy, etc. Y / N. If yes, please give hyperlink for webpage etc.	Yes, the Company produces powers in its own plants through use of turbine and waste. The details are provided in Annexure - D of Director's Report forming part of this Annual Report. Further, it has also installed heat recovery systems and latest generation energy lighting and equipment, to save energy and fuel cost. The Company has also commissioned Rain Water harvesting projects within the plant and nearby villages. Details are given on the Company's website www.radicokhaitan.com.
6. Are the Emissions / Waste generated by the Company within the permissible limits given by CPCB / SPCB for the financial year being reported?	Emission / waste generated by the Company are within the permissible limits given by CPCB/SPCB for the Financial year 2021-22.
7. Number of show cause / legal notices received from CPCB / SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.	The Company is in compliant with various environmental laws as per joint inspection conducted by CPCB/UPCB from time to time.

Principle 7: Businesses when engaged in influencing public and regulatory policy, should do so in a responsible manner

Description	Response
1. Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:	1. PHD Chamber of Commerce and Industry 2. All India Distillery Association 3. Confederation of Indian Alcoholic Beverages Companies (CIABC) 4. Uttar Pradesh Distillers Association (UPDA)
2. Have you advocated / lobbied through above associations for the advancement or improvement of public good? Yes /No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)?	The Company was also a party to various initiatives taken through the aforesaid associations for development of art and culture, addressal of natural calamities, and involvement in Swachh Bharat Mission. The Company as part of its activities under Corporate Social Responsibility (CSR), has also taken steps for improvement of health, education, health and safety of the people in the village around its factories. Conservative of water in the usage of concrete, biodiversity conservation, increased usage of blended cement as sustainable building materials. The Radico has joined with VYAKTI VIKAS KENDRA INDIA (VVKI), a registered public charitable Trust, to address the water scarcity issue under the Project "RADICO-ART OF LIVING'S Bhujal Shakti Project", thereby ensuring the sustainability of adequate ground water levels in the nearby villages and areas around Rampur District in Uttar Pradesh covering around 451 villages.

Principle 8: Businesses should support inclusive growth and equitable development

Description	Response
1. Does the Company have specified programmes / initiatives / projects in pursuit of the policy related to Principle 8? If yes details thereof	As part of CSR, the Company has developed detailed programmes focused on developing the neighbourhood and ensuring a better livelihood for the underprivileged people. Towards these programmes, all stakeholder groups are addressed which, inter alia, include promotion of basic education, rural employment, sustainable operations of the public health centres, development of infrastructure like roads, lights, drinking water supply and social reforms, which will ultimately pave way for a higher livelihood for the neighbourhood.
2. Are the programmes / projects undertaken through in-house team / own foundation / external NGO / government structures / any other organization?	The Company's CSR projects are implemented through an In-House CSR Team. Some of the water conservation, healthcare and welfare activities are also being undertaken through governmental agencies/ NGO.
3. Have you done any impact assessment of your initiative?	Not Applicable
4. What is your company's direct contribution to community development projects- Amount in INR and the details of the projects undertaken?	Details of amount spent by the Company by way of CSR programmes towards the development of the Community have been provided in Annexure E of the Directors' Report for the financial year 2021-22 forming part of this Annual Report.
5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.	The Company undertakes CSR activities after assessing the needs of the community. Further, all CSR activities are rolled out directly to the society. The Company believes that they will benefit the society at large. This helps in increased reach as well as ensuring the adoption of initiative by communities. Project teams track the reach and take necessary steps to make it successful.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner

Description	Response
1. What percentage of customer complaints / consumer cases are pending as on the end of financial year.	Nil
2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes / No / N.A./Remarks	Yes, the Company display all the information regarding its products, its ingredients etc as per the applicable laws on the Company.
3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and / or anticompetitive behaviour during the last five years and pending as on end of financial year. If so, provide details thereof, in about 50 words or so.	The Company does not indulge in any anti – competitive activities and there is no complaint pending regarding unfair trade practices, irresponsible advertising and / or anticompetitive behaviour as on March 31, 2022.
4. Did your company carryout any consumer survey / consumer satisfaction trends?	The Company periodically visits its main customers, namely, stockists, sub-dealers, consumers, as part of the appraisal programme and get the feedback on the satisfaction levels on supply, quality and other terms, etc.

For and on behalf of the Board

Dr. Lalit Khaitan

Chairman & Managing Director
DIN - 00238222

Place: New Delhi
Date: August 10, 2022